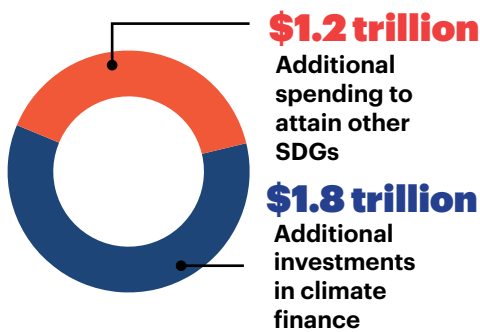


ANNUAL INCREMENTAL INVESTMENT NEEDED

- ▶ **Additional spending of some \$3 trillion per year is needed by 2030**
- ▶ **A report by the World Bank suggests spending on climate action should increase fourfold by 2030 and on other SDGs by 75 per cent**



SOURCE THE TRIPLE AGENDA REPORT OF THE INDEPENDENT EXPERT GROUP



“When the aid is multilateral, the leverage tends to go away. A large-hearted multi-lateral approach to aid by donor countries is still awaited”

ASHOK LAHIRI
MEMBER, 15TH FINANCE COMMISSION; FORMER CEA



“The issue is not developing technologies to deal with climate change... the issue is the huge amount of money required to deploy those technologies”

SUDIPTO MUNDLE
CHAIRMAN, CENTRE FOR DEVELOPMENT STUDIES

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nearly \$3 trillion annually by 2030. Of this, \$1.8 trillion would be for additional investments in climate action and \$1.2 trillion in additional spending to attain other SDGs.

It has called for a triple agenda to harness the potential of MDBs. These are: eliminating extreme poverty; tripling sustainable lending levels by 2030; and creating a funding mechanism that would allow flexible and innovative arrangements for purposefully engaging with investors willing to support elements of the MDB agenda. It has also mooted a “global challenges funding” mechanism that can garner an additional \$20 billion for global public goods by including the private sector in these activities.

Volume 2 of the report, titled

‘Bigger, Better, Bolder’, has taken this vision forward by focussing on the changes needed to implement the G20 leaders’ vision of a strengthened MDB system. The recommendations include a shift in the operational model of MDBs from individual projects to programmes where national governments take the lead in identifying multi-year transformations with sectoral focus, achieved through scaled-up investments. It also suggests ways in which MDBs can mobilise more funds through the private sector by diversifying their instruments.

It has also set an ambitious target for MDBs to triple financing to \$390 billion annually—\$300 billion non-concessional and \$90 billion concessional—by 2030 so that

emerging markets and developing economies can make adequate progress towards SDGs. “To triple their lending, MDBs should make use of all their funding avenues,” it says, adding that these can include the implementation of the Capital Adequacy Framework (CAF)—that aims to identify the optimal balance of a financial institution’s assets, liabilities and risks—for optimisation of their balance sheets, and new opportunities to innovate with different forms of shareholder support.

Besides the World Bank and IMF, the reports mention 15 other MDBs, including the European Investment Bank, African Development Bank, Asian Development Bank (ADB), European Bank for Reconstruction, Inter-American